

for shortcomings in either the employee or the work setting. However, if the leader spends time explaining tasks that are already clear or when the employee has the ability and experience to handle them without interference, the employee is likely to see such directive behavior as redundant or even insulting.

CONTEMPORARY views of leadership

L017.4 What are the latest views of leadership? Given the widespread interest in the topic of leadership, you won't be surprised to learn that there are a number of new and interesting directions in leadership research. We review a number of them in the following pages.

Leader–Member Exchange (LMX) Theory

Have you ever been in a group in which the leader had “favorites” who made up his or her in-group? If so, that's the premise behind leader–member exchange (LMX) theory.²² **Leader–member exchange theory (LMX)** says leaders create in-groups and out-groups, and those in the in-group will have higher performance ratings, less turnover, and greater job satisfaction.

LMX theory suggests that early on in the relationship between a leader and a given follower, a leader will implicitly categorize a follower as an “in” or as an “out.” That relationship tends to remain fairly stable over time. Leaders also encourage LMX by rewarding those employees with whom they want a closer linkage and punishing those with whom they do not.²³ For the LMX relationship to remain intact, however, both the leader and the follower must invest in the relationship.

It's not exactly clear how a leader chooses who falls into each category, but evidence shows that in-group members have demographic, attitude, personality, and even gender similarities with the leader, or they have a higher level of competence than out-group members.²⁴ The leader does the choosing, but the follower's characteristics drive the decision.

Research on LMX has been generally supportive. It appears that leaders do differentiate among followers; that these disparities are not random; and followers with in-group status will have higher performance ratings, engage in more helping or “citizenship” behaviors at work, and report greater satisfaction with their boss.²⁵

Charismatic Leadership

Richard Branson, founder of the Virgin Group, is a person who exudes energy, enthusiasm, and drive. He has pursued his vision for Virgin with serious intensity and has demonstrated an ability to inspire his employees as it expanded into an array of different businesses—from music to space travel. Branson is what we call a **charismatic leader**—that is, someone to whom followers attribute heroic or extraordinary leadership abilities when they observe certain behaviors and tend to give power.²⁶

A number of authors have attempted to identify personal characteristics of the charismatic leader.²⁷ The most comprehensive analysis identified five such characteristics: they have a vision, the ability to articulate that vision, a willingness to take risks to achieve that vision, a sensitivity to both environmental constraints and follower needs, and behaviors that are out of the ordinary.²⁸

An increasing body of evidence shows impressive correlations between charismatic leadership and high performance and satisfaction among followers.²⁹ Although one study found that charismatic CEOs had no impact on subsequent organizational performance, charisma is still believed to be a desirable leadership quality.³⁰ But we can't ignore that charisma has a potential downside. Charismatic leaders who are larger than life don't necessarily act in the best interests of their organizations.³¹ Research has shown that

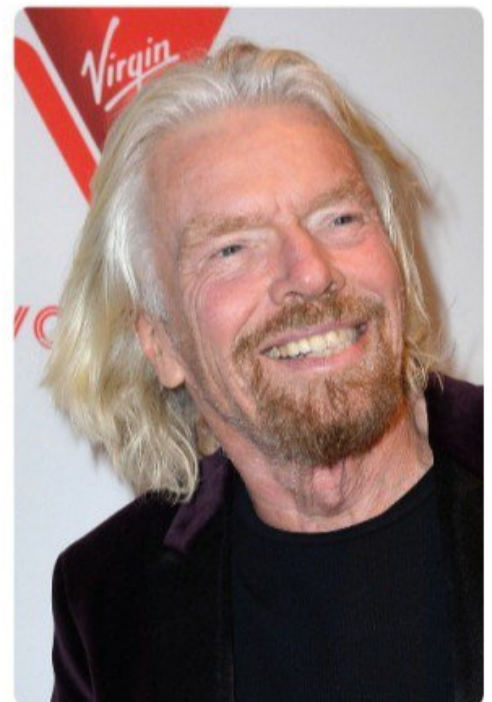
leader–member exchange theory (LMX)

The leadership theory that says leaders create in-groups and out-groups and those in the in-group will have higher performance ratings, less turnover, and greater job satisfaction

charismatic leader

Someone to whom followers attribute heroic or extraordinary leadership abilities when they observe certain behaviors and tend to give power

Richard Branson, founder of the Virgin Group, has demonstrated an ability to inspire his employees as Virgin has expanded into an array of different businesses—from music to space travel. Branson is the model of a charismatic leader. Source: Kristin Callahan/Everett Collection/Alamy Stock Photo



individuals who are narcissistic are also higher in some behaviors associated with charismatic leadership. Many charismatic—but corrupt—leaders have allowed their personal goals to override the goals of their organizations. Charismatic leaders at Enron, Tyco, WorldCom, and HealthSouth recklessly used organizational resources for their personal benefit and unethically violated laws to inflate stock prices, and then cashed in millions of dollars in personal stock options. Hopefully the corrupt charismatic leaders at these organizations stand out largely because they're the exceptions.

If charisma is desirable, can people learn to be charismatic leaders? Or are charismatic leaders born with their qualities? Although a small number of experts still think that charisma can't be learned, most believe that individuals can be trained to exhibit charismatic behaviors.³² For example, researchers have succeeded in teaching undergraduate students to “be” charismatic. How? They were taught to articulate a far-reaching goal, communicate high performance expectations, exhibit confidence in the ability of subordinates to meet those expectations, and empathize with the needs of their subordinates; they learned to project a powerful, confident, and dynamic presence; and they practiced using a captivating and engaging voice tone. The researchers also trained the student leaders to use charismatic nonverbal behaviors, including leaning toward the follower when communicating, maintaining direct eye contact, and having a relaxed posture and animated facial expressions. In groups with these “trained” charismatic leaders, members had higher task performance, higher task adjustment, and better adjustment to the leader and to the group than did group members who worked in groups led by noncharismatic leaders.

One last thing we should say about charismatic leadership is that it may not always be needed to achieve high levels of employee performance. It may be most appropriate when the follower's task has an ideological purpose or when the environment involves a high degree of stress and uncertainty.³³ This distinction may explain why, when charismatic leaders surface, it's more likely to be in politics, religion, or wartime, or when a business firm is starting up or facing a survival crisis. For example, Martin Luther King Jr. used his charisma to bring about social equality through nonviolent means, and Steve Jobs achieved unwavering loyalty and commitment from Apple's technical staff in the early 1980s by articulating a vision of personal computers that would dramatically change the way people lived.

Transformational-Transactional Leadership

Many early leadership theories viewed leaders as **transactional leaders**; that is, leaders who lead primarily by using social exchanges (or transactions). Transactional leaders guide or motivate followers to work toward established goals by exchanging rewards for their productivity.³⁴ But another type of leader—a **transformational leader**—stimulates and inspires (transforms) followers to achieve extraordinary outcomes. Examples include Jim Goodnight of SAS Institute and Reed Hastings at Netflix. They pay attention to the concerns and developmental needs of individual followers; they change followers' awareness of issues by helping those followers look at old problems in new ways; and they are able to excite, arouse, and inspire followers to exert extra effort to achieve group goals.

Transactional and transformational leadership shouldn't be viewed as opposing approaches to getting things done.³⁵ Transformational leadership develops from transactional leadership. Transformational leadership produces levels of employee effort and performance that go beyond what would occur with a transactional approach alone. Moreover, transformational leadership is more than charisma because the transformational leader attempts to instill in followers the ability to question not only established views but also those views held by the leader.³⁶

The evidence supporting the superiority of transformational leadership over transactional leadership is overwhelmingly impressive. For instance, studies that looked at managers in different settings, including the military and business, found that transformational leaders were evaluated as more effective, higher performers, more promotable than their transactional counterparts, and more interpersonally

transactional leaders

Leaders who lead primarily by using social exchanges (or transactions)

transformational leaders

Leaders who stimulate and inspire (transform) followers to achieve extraordinary outcomes

fyi

Forty-seven percent of employees with uninspiring leaders (those at or below the 10th percentile on inspiring and motivating others) say they have considered quitting.³⁷

Learning from **FAILURE** The Firing of Steve Jobs at Apple

Some stories are so good that they're hard to believe. Steve Jobs's story at Apple is one of those. He co-founded the company, got fired, and then came back to save it.

Jobs and Steve Wozniak founded Apple in 1976. Wozniak handled the technical stuff and Jobs was the ideas guy and took care of the business side. As the company grew, they brought in professional management to oversee operations. In 1983, Jobs personally recruited then-PepsiCo CEO John Sculley to take over the helm at Apple. But Jobs and Sculley quickly butted heads. Sculley saw Jobs as a zealot who was more concerned with turning out beautiful products than making money. Sculley cut heavily into Jobs's responsibilities. Their conflict reached a peak in 1985, with company sales in decline. Jobs went to Apple's board of directors to protest constraints that Sculley was placing on Jobs. The board sided with Sculley, and Jobs was essentially ousted.

Sculley proved unable to turn the Apple "ship" around. Under Sculley, Apple turned out flops like the Newton MessagePad, a personal assistant device that was ahead of its time and just didn't function very well. The board fired Sculley in 1993. Over the next several years, new CEOs were hired, but the company continued its decline.

In 1996, the board realized its mistake and reached out to Jobs. In the interim, he had created a small PC maker, NeXT. Apple bought NeXT and brought back Jobs as its "interim" CEO. Two years later, the "interim" title was dropped and Jobs was back in the driver's seat. The rest is history. Jobs oversaw the resurgence of Apple with innovative products like the iMac, iPod, iPhone, and iPad—and turned it into the most valuable company in the world. Apple's board had learned that Jobs was truly a unique talent and that it was OK to admit they had made a mistake in ever letting him go.³⁸

sensitive.³⁹ In addition, evidence indicates that transformational leadership is strongly correlated with lower turnover rates and higher levels of productivity, employee satisfaction, creativity, goal attainment, follower well-being, and corporate entrepreneurship, especially in start-up firms.⁴⁰

Authentic Leadership

The late Senator John McCain and the former CEO of Home Depot, Frank Blake, are examples of authentic leaders. McCain never shirked from his moral standards, nor was he afraid to oppose the majority. Blake took responsibility for a data breach of the company's computer systems that led to the theft of 56 million credit card numbers. This theft happened just before Blake's retirement, and he could have easily left the crisis for the new CEO to deal with.

Authentic leadership focuses on the moral aspects of being a leader. **Authentic leaders** know who they are, know what they believe in, and act on those values and beliefs openly and candidly. More specifically, authentic leaders have been found to possess four qualities: they're self-aware, transparent, openly solicit views that challenge their deeply held positions, and guided by strong moral standards.⁴¹ They're also typically humble.

The combination of these qualities lead followers to consider them as ethical people and trust them as a result. When leaders practice what they preach, or act on their values openly and candidly, followers tend to develop a strong affective commitment and trust in their leader and, to a lesser degree, to improve their performance and organizational citizenship behavior.⁴²

Ethical Leadership

Shortly after becoming CEO of General Motors, Mary Barra faced a character-defining choice: Should she take responsibility for the company's installation of faulty ignition switches in millions of vehicles even though she was not

authentic leadership

Leaders who know who they are, know what they believe in, and act on those values and beliefs openly and candidly

Mary Barra, CEO of General Motors, is an ethical leader. She is placing public safety ahead of profits after the company's installation of faulty ignition switches in millions of vehicles.

Source: Tom Williams/CQ Roll Call/Newscom



CEO at the time? Barra chose to take the high road: “I want to start by saying how sorry personally and how sorry General Motors is for what has happened.”⁴³ She then appointed Jeff Boyer as the vice president of global safety. Barra said that “if there are any obstacles in his way, Jeff has the authority to clear them. If he needs any additional resources, he will get them.”⁴⁴ Mary Barra is an example of an ethical leader because she is placing public safety ahead of profits. She is holding culpable employees accountable, and she stands behind her employees by creating a culture in which they feel that they could and should do a better job.

Leadership is not value-free. In assessing its effectiveness, we need to address the *means* that a leader uses to achieve goals as well the content of those goals. The role of the leader in creating the ethical expectations for all members is crucial.⁴⁵ Ethical top leadership influences not only direct followers but spreads all the way down the command structure as well, because top leaders set expectations and expect lower-level leaders to behave consistent with ethical guidelines.⁴⁶

Leaders rated as highly ethical tend to be evaluated very positively by their subordinates, who are also more satisfied and committed to their jobs, and experience less strain and turnover intentions.⁴⁷ Followers of such leaders are also more motivated, perform better, and engage in more organizational citizenship behaviors and fewer counterproductive work behaviors.⁴⁸

Servant Leadership

An extension of ethical leadership has recently gotten the attention of leadership researchers. The concept is called **servant leadership**.⁴⁹ Servant leaders go beyond their self-interest and focus on opportunities to help followers grow and develop. What’s unique about servant leadership is that, relative to other approaches to leadership, it puts the needs of followers ahead of attending to one’s own needs. Its specific characteristics include caring about followers’ personal problems and well-being; empowering followers with responsibility and decision-making influence; helping subordinates grow and succeed; and serving as a model of integrity.⁵⁰

Sylvia Metayer, CEO of Sodexo Corporate Services Worldwide, provides an example of servant leadership. “I’ve been CEO for 18 months, so I’m learning,” says Metayer. “I’m learning that to be a CEO is to be a servant. My main job is to support our employees, and be a support to our clients and to our consumers.”⁵¹ Other, more notable examples of servant leaders include Martin Luther King Jr., Nelson Mandela, Mother Teresa, and Mahatma Gandhi.

One study of seventy-one general managers of restaurants in the US and over 1,000 of their employees found that servant leaders tend to create a culture of service, which in turn improves restaurant performance and enhances employees’ attitudes and performance by increasing employees’ identification with the restaurant.⁵² Another study of Chinese hairstylists found similar results, with servant leadership predicting customer satisfaction and stylists’ service performance.⁵³

One interesting aside is that servant leadership may be more prevalent and effective in certain cultures.⁵⁴ When asked to draw images of leaders, for example, US subjects tended to draw them in front of the group, giving orders to followers. Singaporeans, in contrast, tended to draw leaders at the back of the group, acting more to gather a group’s opinions together and then unifying them from the rear. This suggests that the East Asian prototype is more like a servant leader, which might mean servant leadership is more effective in these cultures.

Followership

Here’s a statement beyond debate: You can’t be a leader without any followers! So leaders can only be as effective as their ability to engage followers. However, it’s only recently that students of leadership have begun considering the role of followers in the leadership process.⁵⁵

servant leadership

Leadership that goes beyond self-interest and focuses on opportunities to help followers grow and develop

Dr. Martin Luther King, Jr. provides an example of servant leadership, which is defined as leadership that goes beyond self-interest and focuses on opportunities to help followers grow and develop.

Source: GL Archive/Alamy Stock Photo



The leader–follower interaction is two-way. First, it's obvious that leaders need to motivate and engage their followers to achieve end goals. But often overlooked is the fact that followers influence the attitudes, aptitudes, and behaviors of leaders.⁵⁶ The two need to work together to move the collective forward.⁵⁷

The recent attention on followership has underscored that leadership is a process that emerges from a relationship between leaders and followers who are bound together as part of the same social group. For success, followers need a set of skills that are complementary to those of the leader.⁵⁸

What defines a good follower? Through most of the 20th century, the answer was unquestioned obedience and deference to a leader. But today, when leaders engage in less unilateral decision making and more collaboration, great followership is characterized by a different set of qualities.⁵⁹

1. **They can manage themselves.** Effective followers are self-directed. They are self-motivated and can work without close supervision.
2. **They are strongly committed to a purpose outside themselves.** Effective followers are committed to something—a cause, a product, a work team, an idea, an organization—in addition to the care of their own lives. Most people like working with colleagues who are emotionally, as well as physically, committed to their work.
3. **They are enthusiastic.** They approach their work with a positive attitude. They “buy into” their leader’s vision.
4. **They build their competence and focus their efforts for maximum impact.** Effective followers master skills that will be useful to their organization, and they hold higher performance standards than their job or work group requires.
5. **They are courageous, honest, and credible.** Effective followers establish themselves as independent, critical thinkers whose knowledge and judgment can be trusted. They hold high ethical standards, give credit where credit is due, and aren’t afraid to admit their mistakes.